
NEW ZEALAND 2002

1. Overview of the system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. For example, social security benefits for the unemployed are not funded from specific employee/employer contributions. There are no minimum working hours or earnings required in order for a person to be covered by the social security provisions. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of a married couple).

A guaranteed minimum family income (family tax credit) exists, but only for non-beneficiary families with children whose main source of income is salary or wages. A family assistance programme is also available consisting of a child tax credit, parental tax credit and family tax credit. The tax unit is based on personal income, although eligibility for family tax credits is based on combined family income. At 30 June 2002, the average taxable income of personal taxpayers was NZD 25 759, while the average taxable income for those in paid employment was NZD 37 361.

The 2002 AW earnings level is NZD 35997.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

3.1 *Conditions for receipt*

A person is entitled to the Unemployment Benefit provided they are available and willing to undertake full-time paid employment. A person must have resided in New Zealand for at least two years and be over the age of 18, or alternatively over the age of 16, and married with one or more dependent children. They must not be in full-time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find full-time employment. These are referred to as the work test provisions.

3.1.1 *Employment conditions*

None.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not on the individual.

Family type	Gross rate (NZD per 4 weeks)
Single 18-19 at home	493.68
Single 18-19 away from home	617.08
Single 20-24	617.08
Single 25 and over	741.32
Single parent + 1 child	1 085.76
Single parent + 2 or more children	1 189.60
Married couple	1 234.16
Married couple with children	1 311.52

In the case of married couples, each partner receives half of the total benefit.

3.2.2 Income and earnings disregards

The net payment is reduced by a certain percentage of gross before tax earnings:

Gross income (in NZD per week)	Reduction (in net benefit)
Exceeding NZD 80	70%

The unit of income assessment is personal income or joint income in the case of married couple.

3.3 Tax treatment of benefit

Benefits are taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4. Benefit duration

The benefit is payable indefinitely, however, a stand down is applied to new applicants. The length of the stand down (1-10 weeks) is based on gross income and family circumstances in the 6 months prior to the date of benefit entitlement. A longer waiting period (13 weeks) applies to an applicant for an employment-related benefit who has left their employment without a good reason, or who has lost their employment due to serious misconduct.

3.5 *Treatment of particular groups*

3.5.1 *Young people*

The Independent Youth Benefit (IYB) rate in April 2002 was NZD 617.08 gross for each four-week period. The basic qualification for the IYB requires the applicant to be 16 or 17 years of age, to be without a dependent child or dependent children, and to have resided in New Zealand for not less than 2 years. An applicant for IYB must not be living with their parents or expect to be financially dependent on their parents, due to a breakdown in family circumstances. In order to receive IYB a person must be unemployed, temporarily incapacitated or full-time at secondary school. Tertiary students are not eligible for the IYB as they are able to apply for a student allowance through the Ministry of Social Development. The Job Search Allowance for 16-17 year olds was repealed on 1 January 1998.

3.5.2 *Older workers*

The work test provisions (see section 3.1) are relaxed for older job seekers. Recipients of work tested benefits are exempt from the work test in the following situations:

- If they are aged 55 years or over and have been subject to the work test for at least 6 months since reaching that age.
- If they are aged over 60 years.

Universal Superannuation is payable from age 65.

4. *Social assistance*

No information.

5. *Housing benefits*

5.1 *Conditions for receipt*

Payable to those with high accommodation costs (private rent, board or home ownership costs) and low income/assets.

5.2 *Calculation of benefit amount*

The calculation of the benefit is based on actual accommodation costs.

5.2.1 *Calculation of gross benefit*

The rate payable is 70 per cent of the accommodation costs exceeding 25 per cent of the after tax rate of benefit plus the first child rate of Family Support for people with children to which the household would be eligible (see section 3.2.1). For low income working families, the rate payable is 70 per cent of the before tax rate of Invalids benefit plus NZD 17.92 per week. It is increased by Family Support for the first child only (see section 6). The maximum housing benefits are regionally determined. For example, the housing benefit available in Auckland reflects the higher accommodation costs in that city.

Family type	Weekly maximum (in NZD)		From 1 April 2001, rest of New Zealand
	Area 1	Area 2	
1 person	100	65	45
2 people	115	75	55
3+ people	150	100	75

Area 1: Auckland.

Area 2: Hamilton, Tauranga, Rotorua, Napier, Hastings, Palmerston North, Wellington, Nelson and Christchurch.

5.2.2 *Income and earnings disregards*

For beneficiaries receiving the Unemployment Benefit or any other benefit, the rent supplement is reduced by 25 cents per dollar for gross earnings up to NZD 80 per week (earnings of both partners are added). At that stage the entitlement remains fixed for as long as the applicant remains on benefit (or unless earnings cease). For non-beneficiaries the entitlement is reduced by 25 cents for every dollar earned above the applicable gross weekly rate of Invalid's Benefit plus an amount of NZD 17.92.

Family type	Invalids benefit (NZD per 4 weeks), gross rate
Single 16-17 years	822.16
Single 18 years and over	940.44
Married person with no children	774.48
Single person with 1 child	1 252.84
Single person with 2 or more children	1 349.48
Married person with 1 or more children	774.48

A cash assets test is also applied. For a married couple or a single person with a dependent child or children, every NZD 100 of cash assets over NZD 5 400 held is treated as NZD 1.00 per week income. In the case of a single person, every NZD 100 of cash assets over NZD 2 700 held is treated as NZD 1.00 per week income. Assets exceeding NZD 16 200 in the case of a married person/single person with a dependent child or NZD 8 100 in any other case preclude entitlement.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive a rental subsidy through Income Related Rents, and are not eligible for the Accommodation Supplement. The Income Related Rent subsidy reduces the amount of rent payable to 25 per cent of the person's net income.

6. **Family benefits**

6.1 *Conditions for receipt*

The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made

fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year.

6.2 *Calculation of benefit amount*

The amounts are differentiated by age of the child.

6.2.1 *Calculation of gross benefit*

The yearly amounts in NZD are:

Number of children	Gross rate per child (NZD per 4 weeks)
For the eldest child:	
Aged 0 – 15 years	188
Aged 16 – 18 years	240
For each additional child:	
Aged 0 – 12 years	128
Aged 13 – 15 years	160
Aged 16 – 18 years	240

6.2.2 *Income and earnings*

The tax credit is reduced by 18 cents per dollar earned between (joint in the case of a couple) NZD 20 000 – 27 000 and by 30 cents per dollar earned above NZD 27 000.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

None.

7. *Child-care benefits*

The Childcare Assistance Programme (CCA) includes two benefits – the Childcare Subsidy for preschool children and Out of School Care and Recreation (OSCAR) for school age (5-13 years) children.

Child-Care Subsidy: the primary objective of the Childcare Subsidy (CCS) is to assist low-income families in education, training or employment (and families with disabilities or illness) to access approved early childhood services. The Childcare Subsidy is payable to the provider of Child-Care. The rate payable takes into account an applicant's income and the number of children in the family (see table overleaf).

Out of School Care and Recreation Subsidy (OSCAR): The primary objective of the OSCAR subsidy is to help caregivers meet the costs associated with out of school care while they work or actively prepare for work through training or education. The subsidy covers out of school care and school holiday programmes while the parent or caregiver works or actively prepares for work (including travel time). The

rate payable takes into account an applicant's income and number of children in the family. The subsidy is payable to the provider of OSCAR services. It is directed towards parents with primary school aged children (5-13 years old).

7.1 *Conditions for receipt*

Families who meet the income test and are in work related activities may access up to 37 hours subsidised child-care per week during the time they are engaged in those activities, including travel time.¹ All other low-income families may be eligible for 9 hours of Childcare Subsidy per week.

7.2 *Calculation of benefit amount*

7.2.1 *Calculation of gross benefit*

The maximum rate for 37 hours childcare in 2002 is NZD 91.39 per week.

Childcare assistance income thresholds (gross weekly)

Number of children		Income per week (in NZD)		
1	Up to 520	521 - 570	571 - 620	621+
2	Up to 640	641 - 690	691 - 740	741+
3+	Up to 750	751 - 800	801 - 850	851
<i>Rate applicable</i>	Rate 1	Rate 2	Rate 3	Nil

Childcare assistance rates of payment (gross rates in NZD)

	Rate applicable		
	Rate 1	Rate 2	Rate 3
Childcare subsidy hourly rate	2.47	1.72	0.95
Maximum weekly rates (up to 37 hours)	91.39	63.64	35.15
OSCAR subsidy hourly rate	1.91	1.33	0.74
Maximum weekly rates:			
• Term time (up to 20 hours per week)	38.20	26.60	14.80
• Holidays (up to 37 hours per week)	70.67	49.21	27.38

For full day child-care the maximum rate is NZD 91.39 per week per child (37 hours or more per week).

7.2.2 *Income and earnings disregard*

Benefits are reduced with gross earnings, see section 7.2.1

1. Note that from 1 July 2003, the maximum number of subsidised childcare hours was increased to 50 per week.

7.3 *Tax treatment of benefit*

Not taxable.

7.4 *Treatment of particular groups*

None.

8. *Employment-conditional benefits*

8.1 *Conditions for receipt*

The guaranteed minimum family income (known as the Family Tax Credit) is only available to non-beneficiary families. To qualify, a principal child carer or partner must work for salary or wages. This work must be for at least 20 hours per week in a sole parent family and a combined 30 hours per week in a two-parent family. The self-employed are not eligible for the Family Tax Credit.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The Family Tax Credit ensures a minimum net income of NZD 290 net per week (NZD 15 080 net per annum) before Family Support and the Child Tax Credit.

8.2.2 *Income and earnings disregards*

Family, housing and child-care benefits are excluded from the income test.

8.3 *Tax treatment of benefit*

Not taxable.

8.4 *Benefit duration*

Indefinite.

8.5 *Treatment of particular groups*

8.5.1 *Young persons*

None.

8.5.2 *Older persons*

None.

9. Sole parent benefits

Sole parents generally qualify for a Domestic Purposes Benefit (provided that they have a qualifying child, and are the primary carer for that child). The payment rate is the same as the Unemployment Benefit but without the strict income tests (see section 3.2.2). There is an earnings disregard of NZD 80 per week, after which benefits are reduced by 30 cents for each dollar of earnings up to NZD 180. Earnings above NZD 180 per week reduce the benefit by 70 cents for each dollar earned.

- Sole parents with children aged over 14 years are expected to look for full time work.
- Sole parents with children between the ages of 6–13 are expected to look for part-time work.
- Sole parents with children under the age of 6 are expected to attend a compulsory interview once a year. They will either receive the Domestic Purposes Benefit or the Unemployment Benefit. If they receive the Unemployment Benefit, they must fulfil the normal work eligibility conditions and be seeking full-time work.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and tax credits:

Low Income Earner Rebates:

- *Taxable income under NZD 38 000 rebate:* 4.5 cents per dollar of income up to NZD 9 500 (thus maximum is NZD 427.50). Over the income range from NZD 9 500 to 38 000, the rebate is gradually reduced at 1.5 cents per dollar, resulting in an effective tax rate of 21 per cent over that range.
- *Taxable income under NZD 9 880 rebate:* a maximum rebate of NZD 728. The rebate is reduced by 20 cents per dollar earned in excess of NZD 6 240. This rebate is only available for people working 20 hours per week or more.

Family Support Tax Credit: The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year. The yearly amounts in NZD are:

Number of children	Gross rate per child (NZD per 4 weeks)
For the eldest child	
Aged 0 – 15 years	188
Aged 16 – 18 years	240
For each additional child	
Aged 0 – 12 years	128
Aged 13 – 15 years	160
Aged 16 – 18 years	240

The tax credit is reduced by 18 cents per dollar earned between (joint in the case of a couple) NZD 20 000 –27 000 and by 30 cents per dollar earned above NZD 27 000.

Child Tax Credit: The Child Tax Credit is available to families not receiving an income-tested benefit, veteran's pension, New Zealand superannuation, student allowance or a weekly accident compensation for a period of more than 3 months. The level of assistance it provides is NZD 780 per child per year. It is affected by the abatement regime used with the family support tax credit, although it is unaffected until the latter has been abated to zero. In effect it is part of the family support tax credit.

Family Tax Credit: The Family Tax Credit is a scheme that ensures a guaranteed minimum family net income (after tax and ACC contributions) for all full-time earners with dependent children. The guaranteed minimum after-tax income is NZD 290 per week plus family support tax credit.

The collection of these tax credits is referred to as "Family Plus."

10.1.2 *The definition of taxable income*

Gross family income including taxable benefits.

10.1.3 *The tax schedule*

	Gross taxable income (NZD per year)	%
Statutory tax rate	0 – 38 000	19.5
	38 000 – 60 000	33
	Above 60 000	39
Effective tax rate*	0 – 9 500	15
	9 501 – 38 000	21
	38 001 – 60 000	33
	Over 60 000	39

* Effective tax rates incorporate the "taxable income under NZD 38 000 rebate".

A tax rebate of up to NZD 310 per year is also available to wage and salary earners in respect of costs incurred with childcare or a housekeeper/domestic help. If costs are NZD 940 or more the maximum rebate of NZD 310 applies. If less than NZD 940, then the rebate is equivalent to the actual costs multiplied by 0.33.

10.2 *Treatment of family income*

Individuals are taxed separately, although combined family income is the unit of assessment for Family Plus tax credits.

10.3 *Social security contribution schedule*

The Accident Compensation Corporation (ACC) provides compulsory, no fault insurance against injury by accident. It covers a range of accident related costs and provides weekly compensation at 80 percent of pre-injury weekly earnings (up to a maximum) when a person is unable to work due to a personal injury covered by the ACC scheme. The ACC earner levy is charged on gross earned income. For 2002, the levy was 1.2%.

11. Part-time work

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

Following the general election of November 1999, a change of government brought to power a new centre left administration formed between the Labour and Alliance parties. Since this time there have been a number of changes to the benefit and tax systems. The main changes have been income tax increases for high income earners (see table 10.1.3), an increase in retirement pensions for older people, some changes in rules surrounding repayment of student loans, the reintroduction of an Unemployment Benefit and a separate non-work tested Sickness Benefit and a refocus of the work-related obligations for beneficiaries. Work test obligations were embodied in an individual 'job seeker agreement' developed between the beneficiary and their case manager. New provisions in the area of childcare have been aimed at assisting parents into work and income related rentals have been introduced for state house tenants.

Income related rents for state house tenants were introduced on 1 December 2000. For low-income people, rent cannot exceed 25 per cent of their income. If a person's income is greater than the net rate of pension (New Zealand Superannuation), any income above the pension threshold is charged at 50 per cent for income-related purposes. The income-related rent cannot exceed the market rent for the property. This policy restored income-related rents for state house tenants which had applied prior to 1994.

On 1 April 2001, the community work scheme was replaced by an activity in the community programme, with participation no longer mandatory for work tested beneficiaries who were requested to participate. Voluntary work also became a recognised activity for work tested beneficiaries. Where paid work or other suitable organised activities were not available, beneficiaries were able to fulfil their employment related responsibilities through participation in suitable voluntary work.

A range of policy initiatives were introduced on 1 July 2001 as follows:

- At the end of 2001, a state-funded paid parental leave scheme was announced to commence on 1 July 2002. A maximum payment of NZD 325 gross per week would be payable for 12 weeks, however, an employee must have worked at their current employer for a period of at least one year.
- In March 2001 the adult minimum wage increased to reflect the increase in average earnings over the previous year. The age of eligibility for the adult minimum wage was also reduced from 20 to 18 years and the youth minimum wage was increased to 70 per cent of the adult minimum wage.

In addition, two new transition to work measures were introduced:

- The maximum amount of assistance under the Work Start Grant was increased from NZD 250 to 500. This grant is available to beneficiaries entering employment of 15 hours per week or more. It assists with relocation costs if a person needs to relocate to take up a

specific vacancy, safety equipment, and bridging finance to cover the period between the last benefit payment and the first payment of wages if the person cancels their benefit to enter employment.

- Access to the New Employment Transition Grant, previously only available to sole parents, was extended to married people with a dependent child or children. For six months following the cancellation of the benefit to enter employment, the grant provides assistance to people who are required to take unpaid leave due to personal illness, illness of their partner or their child, or as a result of a breakdown in their childcare arrangements.

12.1 *Policy changes introduced in the last year*

A range of policy initiatives were implemented during 2002. These included:

The youth and adult minimum wage was increased in March 2002 to reflect the increase in average ordinary time weekly earnings over the previous year. The youth minimum wage applicable to 16-17 year olds, was increased to 80 per cent of the adult minimum wage.

Also foreshadowed during 2002 were substantial changes to the Domestic Purposes Benefit and Widows Benefit. These changes came into effect on 10 March 2003. The work test was abolished and both groups are now required to develop an annual plan detailing the steps they intend to take to move back into the workforce when parenting responsibilities and individual circumstances allow. The age of the youngest child in a family will no longer determine whether sole parents on DBP and Widows Benefit are required to work, and whether they work part or full time [see section 9].

This change is supported by the introduction of a single abatement rate for DPB/WB clients allowing them to keep a greater proportion of any income they receive while on the benefit:

Gross income (in NZD per week)	Reduction (in net benefit)
Exceeding NZD 80 but less than NZD 180	30%
Exceeding NZD 180	70%

In addition, two new transition to work measures were introduced:

- A “Pathways Payment” and benefit debt suspension for long term beneficiaries with children who move off benefit and into full time work. This initiative provides a payment equivalent to 2 weeks’ benefit and a 3 month suspension of benefit debt repayments.
- A total of NZD 36.592 million new funding provided to improve the number and quality of Out of School Care and Recreation (OSCAR) providers so that access to childcare is less of an impediment to beneficiaries and low-income workers entering and/or remaining in the paid workforce.
